



PAPER – 5: AUDITING AND ETHICS



QUESTIONS

PART – I: Multiple Choice Questions based on Case Scenarios

Case Scenario

ABC Limited is a mid-sized manufacturing company engaged in the production of electrical components and spare parts. The company maintains significant inventory across multiple warehouses. During the audit of the financial statements for the year ended 31st March 2025, the auditor noted that inventory prices were highly volatile during the year and that discrepancies in inventory records had been reported in earlier audits. Certain inventory items were also identified as slow-moving and required significant management judgement for valuation. Based on these factors, the auditor assessed the risk of material misstatement in inventory valuation as high.

In the course of the audit, the auditor performed inquiries with the stores manager, production head, and finance personnel to understand the process for identification of obsolete inventory and valuation adjustments. While management represented that adequate provisions had been made for obsolete inventory, the stores manager indicated during inquiry that certain obsolete items were still carried at cost due to pressure to meet profitability targets. This inconsistency prompted the auditor to reassess audit procedures.

Considering the high risk assessment and contradictory responses obtained during inquiry, the auditor decided to perform tests of controls relating to approval of inventory write-downs and review of inventory ageing reports. Based on the results, the auditor concluded that controls over identification

and valuation of obsolete inventory were not operating effectively throughout the period.

Accordingly, the auditor designed and performed substantive procedures, including detailed testing of inventory valuation, examination of subsequent sales prices, physical inspection of slow-moving items, and substantive analytical procedures. While designing these procedures, the auditor identified conditions that would constitute a misstatement in the relevant assertions relating to inventory.

While evaluating the audit evidence obtained, the auditor considered the management assertions made in representing that the financial statements are prepared in accordance with the applicable financial reporting framework, particularly assertions relating to existence, valuation, completeness, and presentation and disclosure of inventory.

Based on above, answer the following MCQs:

1. In the audit of ABC Limited, which combination of circumstances primarily justified the auditor's decision to obtain additional audit evidence for inventory valuation?
 - (a) Existence of slow-moving inventory requiring management judgement
 - (b) Prior period discrepancies, price volatility and contradictory inquiry responses regarding obsolete inventory
 - (c) Materiality of inventory balance and availability of ageing reports
 - (d) Physical dispersion of inventory across multiple warehouses
2. The stores manager's statement that obsolete items were carried at cost due to pressure to meet profitability targets most appropriately implies that the auditor should:
 - (a) Conclude that the issue relates only to operational inefficiency and does not affect financial reporting
 - (b) Accept management's representation regarding adequate provisioning
 - (c) Treat the information as an indicator of potential management bias and modify audit procedures accordingly

- (d) Consider the inquiry response as sufficient appropriate audit evidence
3. In the audit of ABC Limited, after obtaining contradictory responses during inquiry and before designing substantive procedures, the auditor decided to test controls specifically over approval of inventory write-downs and review of ageing reports.

This decision was primarily to determine whether:

- (a) Controls existed and operated effectively to prevent management from deferring write-downs of obsolete inventory to meet profitability targets
 - (b) Inventory quantities recorded in the system matched the physical stock across warehouses
 - (c) Substantive testing of inventory valuation could be restricted to analytical procedures only
 - (d) Management representations regarding obsolete inventory could be accepted without further corroboration
4. After concluding that controls over identification and valuation of obsolete inventory were not operating effectively throughout the period, the auditor performed procedures such as examining subsequent sales prices, physically inspecting slow-moving items, and performing substantive analytical procedures.

These procedures were primarily designed to:

- (a) Determine whether inventory write-downs had been formally approved in accordance with internal policies
 - (b) Obtain direct audit evidence to evaluate whether inventory was overstated due to delayed or inadequate write-downs
 - (c) Re-assess the design of internal controls over inventory management
 - (d) Corroborate management's representations regarding profitability targets
5. The auditor identified that certain slow-moving and obsolete inventory items continued to be carried at cost due to pressure to meet profitability targets.

This situation most directly affects which management assertion, thereby requiring focused audit procedures in response to the identified risk?

- (a) Existence – because slow-moving inventory may no longer physically exist
- (b) Completeness – because obsolete inventory may not have been recorded in the inventory records
- (c) Presentation and disclosure – because obsolete inventory requires separate classification in the financial statements
- (d) Valuation – because inventory may be overstated as net realisable value has not been appropriately considered

General MCQs

6. During the audit of QRS Ltd. for the year ended 31 March 2025, the auditor observed that management had changed the method of depreciation from Written Down Value Method to Straight Line Method. The change was applied in the current year and disclosed in the notes to accounts. The auditor also reviewed whether the financial statements appropriately summarised the transactions and events recorded and evaluated the judgments made by management in selecting and applying accounting policies consistently.

In the above case, which of the following represents the auditor's responsibility while evaluating the financial statements?

- (a) To select the most appropriate accounting policies for the entity.
 - (b) To prepare and present the financial statements in accordance with applicable statutory requirements.
 - (c) To change the accounting policies where they do not reflect true and fair view.
 - (d) To ensure that accounting policies selected by management are evaluated for appropriateness and consistent application and that relevant information is properly disclosed.
7. P & Co., Chartered Accountants, were appointed as statutory auditors of LMN Ltd. for the year ended 31 March 2025. Soon after completing the audit for the previous year, the engagement team began discussions for

the current year's audit. Before identifying and assessing the risks of material misstatement, the auditor planned the timing of certain activities such as applying analytical procedures, obtaining an understanding of the applicable legal and regulatory framework, determining materiality and considering the need for involvement of experts.

Which of the following statements best explains the nature of audit planning as per the Standards on Auditing in the above case?

- (a) Audit planning is a separate phase that begins only after the identification of risks of material misstatement.
 - (b) Audit planning is a continual and iterative process that includes consideration of analytical procedures, materiality, legal and regulatory framework and involvement of experts prior to performing further audit procedures.
 - (c) Audit planning is restricted to preparation of the audit programme and allocation of audit staff.
 - (d) Audit planning is required only in case of initial audit engagements.
8. While auditing a charitable trust for the year ended 31 March 2025, the auditor obtained a list of books and records maintained by the trust and verified them with the mandatory records prescribed. Based on his evaluation of internal controls, he applied test checks, complied with the applicable Accounting Standards and Standards on Auditing, considered materiality while performing audit procedures and maintained detailed working papers documenting the audit evidence relied upon for forming his opinion.

Which of the following actions of the auditor in the above case is most appropriate as per generally accepted auditing practices?

- (a) Using professional judgment to determine audit tests, applying test checks based on internal control evaluation, considering materiality and maintaining working papers to support the audit opinion.
- (b) Applying test checks irrespective of internal control evaluation, since trust audits are not governed by internal control considerations.

- (c) Restricting compliance to Accounting Standards only, as Standards on Auditing are recommendatory in case of trust audits.
- (d) Maintaining working papers only for material items, as immaterial matters do not require audit documentation.

PART II – Descriptive Questions

Chapter 1 - Nature, Objective and Scope of Audit

9. You are appointed as statutory auditor of Zebra Industries Ltd. for FY 2024–25. During the course of audit, you observe that the company's management frequently delays in providing certain documents and explanations requested by you. A portion of the accounting records related to "special procurement" is supported only by basic acknowledgements without proper vendor details. You also notice that some transactions appear to be with entities that may be related to the company, but management denies the existence of any such relationships. Further, during verification, you find that some documents produced as evidence appear unusually uniform and lack standard commercial markings, raising concerns about their authenticity. Since your audit is conducted on a test-check basis, you are unable to verify all such transactions individually.

Based on the above, explain the inherent limitations of an audit that restrict the auditor from obtaining absolute assurance that the financial statements of Zebra Industries Ltd. are free from material misstatement.

Chapter 2 - Audit Strategy, Audit Planning and Audit Programme

10. You are the Engagement Partner for the statutory audit of Strong Engineering Ltd. for FY 2024–25. While planning the audit, you observe the following practical issues:
- (i) Two newly recruited audit assistants inform you that they are unsure about the exact audit procedures expected from them for different areas of the audit.
 - (ii) The audit this year is a major assignment involving multiple units, and your team seems unable to visualise the full scope of procedures to be performed.

- (iii) Because the audit work has not been formally planned, defined and segregated, you are unable to allocate tasks to assistants on the basis of their individual capabilities.
- (iv) Last year, in the absence of a written programme, the then audit team followed a "mental plan", as a result of which certain subsidiary records were overlooked.
- (v) During review, you notice that assistants have not signed off on procedures performed, making it difficult to trace work back to the responsible individual.
- (vi) As the principal auditor, you find it difficult to track the progress of different audit areas because no written audit programme has been initiated by assistants.
- (vii) Your firm wishes to use this year's audit documentation as a reference for planning next year's audit of Strong Engineering Ltd.
- (viii) The firm is also facing a negligence allegation on another audit, and you are concerned about having adequate evidence of exercising reasonable skill and care in this assignment.

Based on above facts, analyse why preparing a written audit programme is advantageous for the audit of Strong Engineering Ltd.

Chapter 3 - Risk Assessment and Internal Control

11. ABC Limited is a medium-sized manufacturing company having multiple departments and large volume of transactions. The management claims that the company has a well-designed internal control system and an internal audit department in place.

While planning the statutory audit, the auditor decides to evaluate the internal control system of the company before determining the nature, timing and extent of audit procedures. During the review, the auditor focuses not only on accounting controls but also on administrative controls and their impact on financial reporting. Based on the above facts, explain how evaluation of the internal control system would benefit the auditor in planning and conducting the statutory audit of ABC Limited.

Chapter 4 - Audit Evidence

12. XYZ Limited is engaged in infrastructure development and has significant balances relating to valuation of long-term assets and environmental provisions. Environmental provisions are amounts recognised for future obligations like site restoration, environmental clean-up, or compliance with environmental laws, which also involve technical and judgmental estimates. For this purpose, the management has engaged independent experts to determine fair values and technical estimates which have been incorporated in the financial statements.

While conducting the statutory audit, the auditor considers whether and to what extent he can rely on the work performed by the management's expert for obtaining audit evidence and forming his audit opinion.

State the condition and procedures to be followed by the auditor while relying on the work of management's expert.

Chapter 5 - Audit of Items of Financial Statements

13. PQR Limited is engaged in trading and manufacturing activities and reports a substantial amount of inventories in its financial statements as at 31st March 2025. A portion of the inventories is held at the company's own warehouses, while some inventories are held on consignment and with third parties.

While conducting the audit, the auditor is required to obtain sufficient and appropriate audit evidence to establish the legal ownership rights over the inventories claimed to be held by the entity and recorded in the financial statements.

State the audit procedures to establish the legal ownership rights over the inventories claimed to be held by the entity.

14. TUV Ltd. is engaged in the business of manufacturing and sale of electronic appliances. During the audit of the company for the year ended 31st March 2025, the auditor observed a significant increase in revenue in the last month of the financial year as compared to previous months.

Further, it was noticed that:

- Some sales invoices near year-end were cancelled subsequently.

- The sales return ratio for the current year showed wide fluctuation compared to the previous year.
- Management was under pressure to meet revenue targets to comply with loan covenants.
- Certain customers had not made payments even after an extended credit period.

The auditor is concerned about the risk of overstatement of revenue and wants to verify whether the recorded sales genuinely represent goods shipped or services performed during the period.

As an auditor, explain the audit procedures you would perform to verify the Occurrence assertion in respect of revenue transactions of TUV Ltd.

Chapter 6 - Audit Documentation

15. ABC & Co., Chartered Accountants is conducting the statutory audit of a listed company having multiple locations and a large engagement team. The audit involves extensive planning, supervision, review of work performed by assistants and is also subject to quality control review by the firm as well as possible inspection by regulatory authorities.

During the audit, the engagement partner emphasises the need for proper and comprehensive audit documentation.

With reference to above, explain the purpose served by audit documentation for the auditor and the engagement team.

Chapter 7 - Completion and Review

16. During the audit of LMN Limited, the auditor identified certain significant deficiencies in the internal control system which could adversely affect the reliability of financial reporting. The auditor is required to communicate such deficiencies to those charged with governance and also to management on a timely basis.

Further, the auditor is required to ensure that the written communication clearly specifies the nature and implications of such deficiencies.

With reference to above, explain:

- (i) the auditor's responsibility for communication of significant deficiencies in internal control to those charged with governance and management; and
- (ii) the matters that the auditor shall include in the written communication of such significant deficiencies.

Chapter 8 - Audit Report

17. "Using the Work of Another Auditor" is a critical area in the audit of entities having branches or components audited by auditors other than the principal auditor.

With reference to SA 600 – Using the Work of Another Auditor, explain:

1. The need for coordination and proper understanding between the principal auditor and the other auditor; and
2. The procedures to be performed by the principal auditor to evaluate and use the work of the other auditor, including circumstances where the principal auditor may need to visit the component or examine its records.

Chapter 9 - Special Features of Audit of Different Type of Entities

18. Hope Foundation, a registered non-governmental organisation (NGO), is engaged in social welfare activities across multiple states and receives funds from domestic as well as foreign donors. The organisation is governed by a Managing Committee and is required to comply with various statutes and funding agency requirements.

While planning the statutory audit of the NGO, the auditor is required to obtain a thorough understanding of the organisation, its regulatory environment, internal systems and prior audit findings in order to design appropriate audit procedures.

With reference to above, state the matters on which the auditor may concentrate while planning the audit of an NGO.

Chapter 10 - Audit of Banks

19. ABC Bank Limited has a substantial portfolio of advances comprising term loans, cash credit facilities and overdrafts. As at the balance sheet date, significant amounts of advances are outstanding and are required

to be valued, classified and disclosed in accordance with applicable accounting standards, RBI norms and regulatory requirements.

While carrying out the audit of advances, the auditor is required to obtain sufficient and appropriate audit evidence to ensure that the advances reported in the balance sheet are properly recorded, supported, valued and disclosed.

With reference to the above, state the primary matters with respect to which the auditor should obtain audit evidence while carrying out the audit of advances.

Chapter 11 - Ethics and Terms of Audit Engagements

20. ABC & Co., Chartered Accountants, was appointed as the statutory auditor of Kimi Manufacturing Ltd. for the financial year ended 31st March 2025. CA Arjun, a senior partner of the firm, was designated as the Engagement Partner for the audit engagement.

In accordance with SA 220, "Quality Control for an Audit of Financial Statements", CA Arjun took active steps to demonstrate leadership and responsibility for the overall quality of the audit. He communicated to the engagement team the importance of complying with professional standards, regulatory and legal requirements, and adherence to the firm's quality control policies and procedures.

He also emphasised that the auditor's report should be appropriate in the circumstances and should be issued only after obtaining sufficient and appropriate audit evidence. Further, CA Arjun encouraged open communication within the engagement team and assured members that they could raise professional concerns or doubts without fear of reprisals. Throughout the engagement, he consistently highlighted that audit quality is essential in performing audit engagements.

With reference to SA 220, explain how the actions and messages conveyed by the engagement partner demonstrate leadership responsibilities for ensuring overall audit quality on an audit engagement.